

The Wharton School
Venture Capital and Entrepreneurial Management

Caselette #2: Considerations in Establishing the Initial Capitalization of the Start-Up

Three founders—Melissa, Daniel and Sam—decide they want to form a new start-up company in preparation for raising venture capital. The three founders have never worked together before in any work setting; their association was really the product of an accidental encounter at an industry conference on enterprise software applications. From that encounter, Melissa, Daniel and Sam followed up over coffee at the local Starbucks and conceived the idea of a start-up that they all agreed had a good chance of being successful. Their intent is to immediately organize a corporation and begin the process of knocking on doors to raise venture capital. They are smart enough to know that the fundraising process could take several months.

The three founders have very different backgrounds.

- Melissa is a former Salesforce.com employee who between jobs has successfully engineered an enterprise software application that provides a unique “back office” interface with the sales organization. The source code for the application is her work product, and the application that she has developed will be core to the new company’s initial development activities. Melissa is anxious to begin the new company, in part because she is hoping the company can put her on a payroll so she can pay some bills, and in part because it’s important for her to show continuing business engagements for resume purposes.
- Daniel is currently employed by Oracle; however, in his free time following the meeting in the coffee shop he has written up a business plan that overviews the initial operating activities of the start-up during the first 12 months of its existence. Daniel is prepared to leave Oracle to come on board as a full-time founder as soon as the new company is organized.
- Sam, a recent Wharton graduate and savvy in the ways of start-ups based on prior experience in the venture industry, has agreed to come on board to help out with the new company. He has not confided in Melissa or Daniel that he is also evaluating two or three other promising career opportunities, and has not yet decided whether he will join the start-up as a full-time employee, or will simply provide support in a part-time consulting capacity. Sam wants to see how things pan out before he makes a decision.

The decision of Melissa, Daniel and Sam to start a company comes at a time when the U.S. Congress is at an impasse while the national economy is lurching toward the edge of the “fiscal cliff,” the stock market is volatile, and business in general is guardedly evaluating the state of the union in 2013. The venture capital community has continued consolidating since the 2008 recession; while institutional

venture capital is still available, most firms are taking longer to evaluate “deals” that require substantial amounts of initial capital and are acting very selectively in making investments in early stage companies.

The three entrepreneurs agree that they will need to allocate the initial issuance of the stock of the company in a way that recognizes the contribution and commitment that each is expected to make to the organization. They agree that Melissa will be the CEO of the new organization, and will also take on the responsibility of acting Chief Technology Officer until the role can be filled permanently. Daniel will be the Vice President of Business Development, and Sam will be the CFO.

Recognizing that the company will need to hire a number of people if the company is successful in raising funding, the three founders plan to set aside 25% of the capital stock as a stock reserve for equity incentives to be granted to future officers, employees and consultants.

After discussion, Melissa agrees to immediately contribute and assign all of her right in the software to the company, even though it is likely that securing venture funding will take several months. She believes, as do Daniel and Sam, that the long range commercial value of the software application could be very significant. She wants to commit to a full-time schedule at the company.

Daniel believes that the business plan that he created is brilliant, and virtually assures the company of success in its fundraising activities. Daniel is committed to the long range success of the company and will come on board as a full-time employee. He is going to quit his job at Oracle as soon as the company is organized so he also can work full time on the start-up.

Sam notes that the company will need some initial working capital to get the company running (to pay their salaries, office rent and overhead, some computers and other office equipment and the like). He has saved \$100,000 that he is prepared to throw into the business, but has to evaluate whether he is going to commit full-time to the start-up.

Sam suggests that all of the founders’ stock should be issued as “fully vested”, that is, not subject to any repurchase rights in favor of the company if any of them should terminate their relationship with the company before a predetermined period of time. In Sam’s view, the three of them shouldn’t worry about any vesting arrangement for the founders’ stock that they will take in the new company—with the anticipated venture funding, he thinks they will be better served if they approach the investment negotiations with fully vested stock.

Questions:

1. Offer your thoughts on how the founders’ stock should be allocated among Melissa, Daniel and Sam. Does your thinking change if Sam throws in his \$100,000 to support the company, but takes a part-time consulting role instead of full-time employee?
2. What form of stock in the new company should the three founders consider for the initial issuance of the capital of the company? How would you recommend that each founder—Melissa, Daniel and

Sam—pay for the stock that she or he will be receiving? What are the tax consequences (if any) to each?

3. What suggestions do you have in structuring Sam's \$100,000 contribution to the company? What is the effect of this structure on the allocation of the founders' stock that Melissa, Daniel and Sam agree upon? The value of the founders' stock? The reaction of venture investors to the structure of the investment?

4. Sketch out a proposed capital structure for the new company, taking into account the founders' stock, Sam's contribution of his \$100,000 contribution, and the 25% equity reserve to be set aside for future officers, employees and consultants. State the key assumptions that underlie your proposal.

5. If Sam steps in front of a speeding bus the day after stock is issued to the three founders, what are the implications of the vesting approach that Sam has originally recommended? What might be considered an acceptable vesting arrangement for the three founders for the initial issuance of stock?

6. Shortly following the initial capitalization, the company hires Sanjay as Vice President of Product Development and determines to give him shares equal to 2% of the capital stock of the company. What recommendation would you make in pricing the common stock to Sanjay? What if Sanjay cannot afford to pay the price of the stock that is offered to him as equity incentive?

7. How would you recommend the new company handle Melissa's need to be on the payroll so she can pay her bills?
